The person whose stock you've borrowed must get the shares back, eventually, and the way you replace them is by paying the current price. For instance, if you shorted 1,000 shares of IBM at $160, and six months later, IBM was selling for $200, then it would cost you $200,000 to settle the account. Since you were credited with $160,000 for shorting the IBM in the first place, you'd be left with a $40,000 loss in this instance.

You could hold on to any stock you've sold short for as long as you want, or for as long as there was enough money in your account to cover a certain percentage of its current value. That meant you'd have to have a lot of equity in your account before you could short $160,000 worth of IBM to begin with. That you could only short what you could already afford depressed my enthusiasm for what had sounded like a perfect scheme. Another drawback was that all the dividends on any shorted stock went to the original owner, and not to the borrower of the shares.

Of course, when you short a stock you are hoping that the price will go down. In the above example, if the price of IBM dropped from $160 a share to, say, $100 a share, then you could replace the 1,000 borrowed shares for $100,000 and pocket a $60,000 profit.

Mr. Gressel told me there were short-term short-sellers who played for a few quick points and long-term short-sellers willing to wait for some hapless stock to become worthless, so it would cost nothing to replace the shares they'd borrowed when the price was high. If, for instance, you could short 1,000 shares of some company whose stock was selling for $50, you'd be credited with $50,000 that would be yours to keep if the company went bankrupt.

Apparently, it's a good idea to keep track of the short interest—i.e., how many shares have been sold short—in any stock you own. Lists of short interest are published in *Barron's* and other financial publications. When a large number of average investors sell a stock short, it's taken to mean that the short-sellers are wrong and the stock price will rise. Conversely, when only a small number of average investors are shorting a particular issue, it's taken to mean that the stock price will likely go down.

Nobody knows when short-selling was invented, or who actually thought of it. In the early days of the U.S. markets, half the investors sold short. In the original definition of bulls and bears,